

# Power Grid Corporation of India Ltd

POWERGRID · Energy / Power Transmission

ROE

17.87%

ROCE

12.95%

Net Profit Margin

33.97%

D/E

1.42

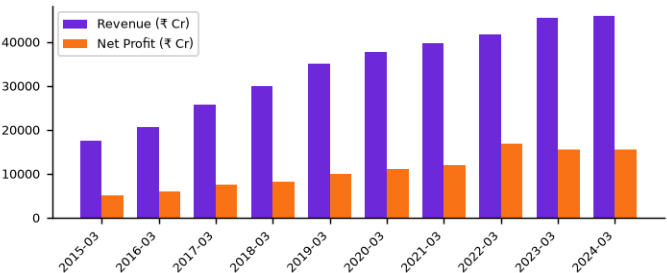
Revenue CAGR 5yr

5.51%

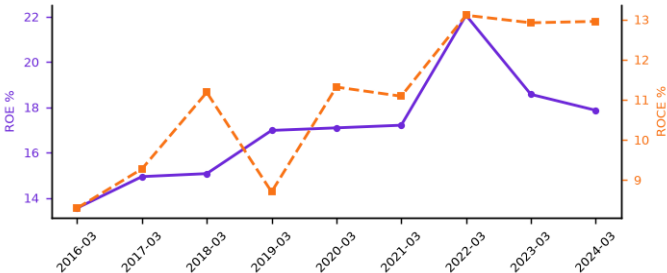
FCF (Rs. Cr)

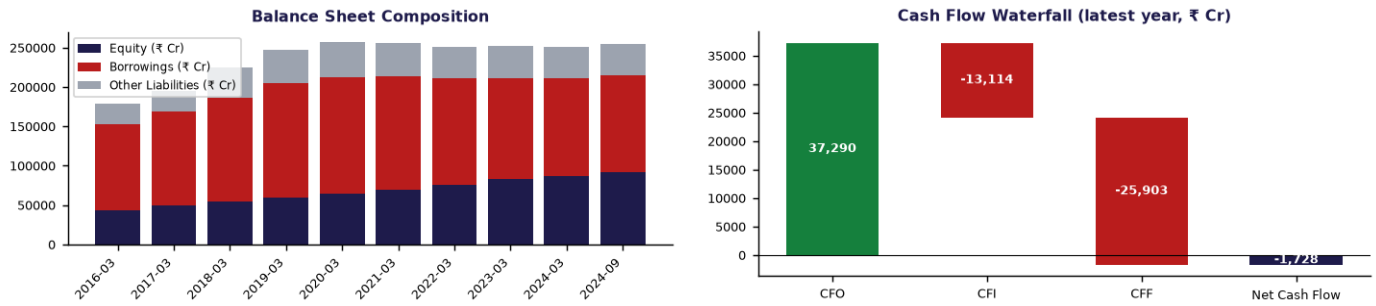
24,176

Revenue vs. Net Profit



ROE vs. ROCE





## Pros

- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (100% confidence)
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)
- ✓ Strong free cash flow generation over 5 years signals healthy business fundamentals (80% confidence)
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (75% confidence)
- ✓ Consistent dividend yield above 2% backed by positive free cash flow (74% confidence)

## Cons

- ✗ Earnings per share declining for 3 consecutive years reflects deteriorating profitability (71% confidence)

Capital Allocation Pattern: **Shareholder Returns**